Analytical Solution for Revenue & Retention

Juliana Karla de Carvalho Melo Baracho
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1. The Situation

The company is growing fast, but the data is a mess. Marketing, Product, and Finance all have different numbers, so nobody trusts the reports. We don't know which ads actually work. We only notice customers are gone when the revenue drops. And on top of that, more than a third of our orders get cancelled or returned. We need one single source of truth.

2. What I Did

I took the orders, customer, and marketing data and combined everything into one table. This way, everyone looks at the same numbers.

The most important change was the Net Revenue rule. If an order is cancelled or returned, it counts as zero revenue. This simple rule stops the fight between Finance and Marketing.

For attribution, I used a simple last-touch model (the channel that spent the most on the purchase day gets the credit). It's not perfect, but it gives us a starting point to understand what's happening.

I also grouped customers using RFM (Recency, Frequency, Monetary value). This helps us see who is about to leave before they actually do.

3. What the Data Told Us

I looked at 99,751 valid orders. Here's what I found.

Revenue Leakage is huge. We're losing 33.23% of our gross revenue to cancellations and returns. The channel 'fb' is the worst at 34.39%, while 'GoogleAds' is slightly better at 32.34%. Since the numbers are so close across all channels, the problem isn't just the ads – it's probably the product itself or the delivery experience.

Most marketing channels are burning cash. Only Email (+3.37%) and Newsletter (+2.24%) are profitable. GoogleAds is losing -32.73% – that means for every real spent, we lose money. We should cut these budgets immediately and move the money to Email and Newsletter.

Our customers are slipping away. We have only 682 Champions (13.6%). But we have 1,699 customers "At Risk" (34%) and 1,602 already lost to Churn (32.1%). That means two out of every three customers are in trouble. If we send a discount to the "At Risk" group now, we can save many of them before they leave for good.

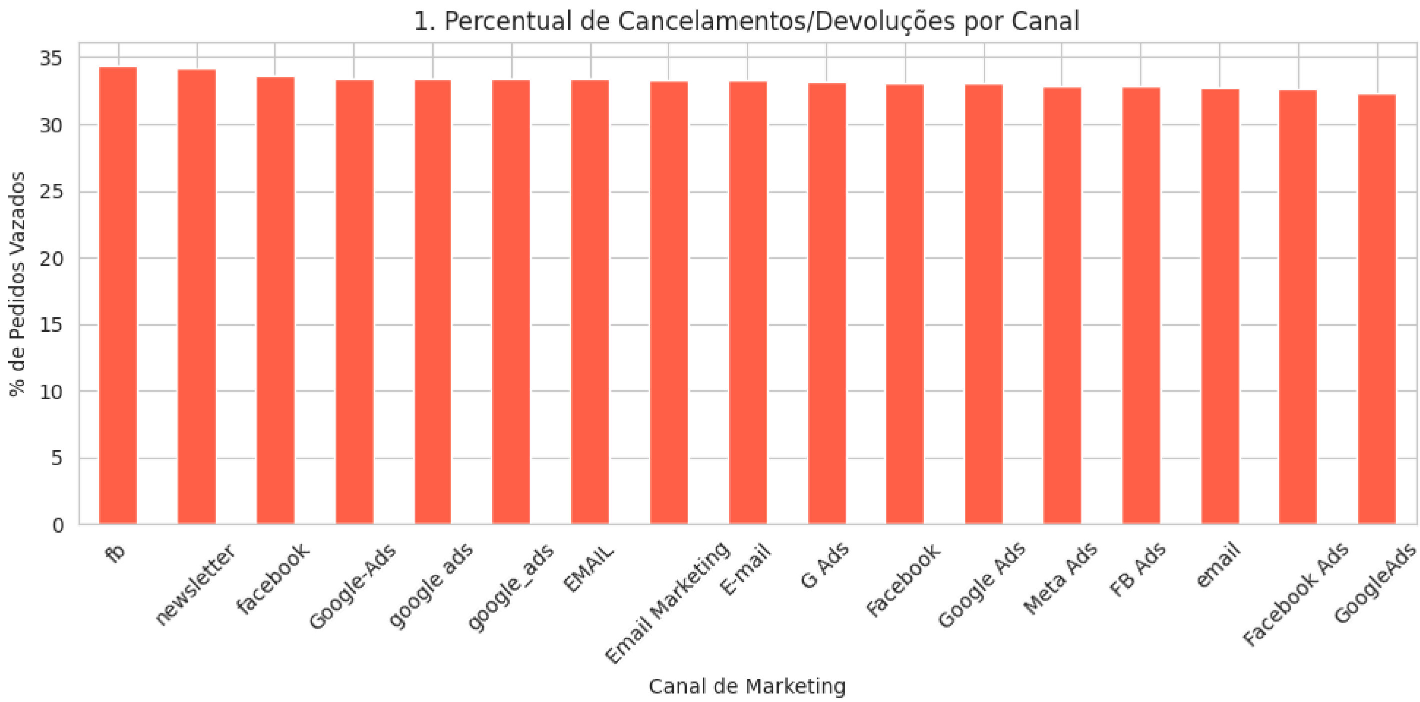

Figure 1: Cancellations by Channel

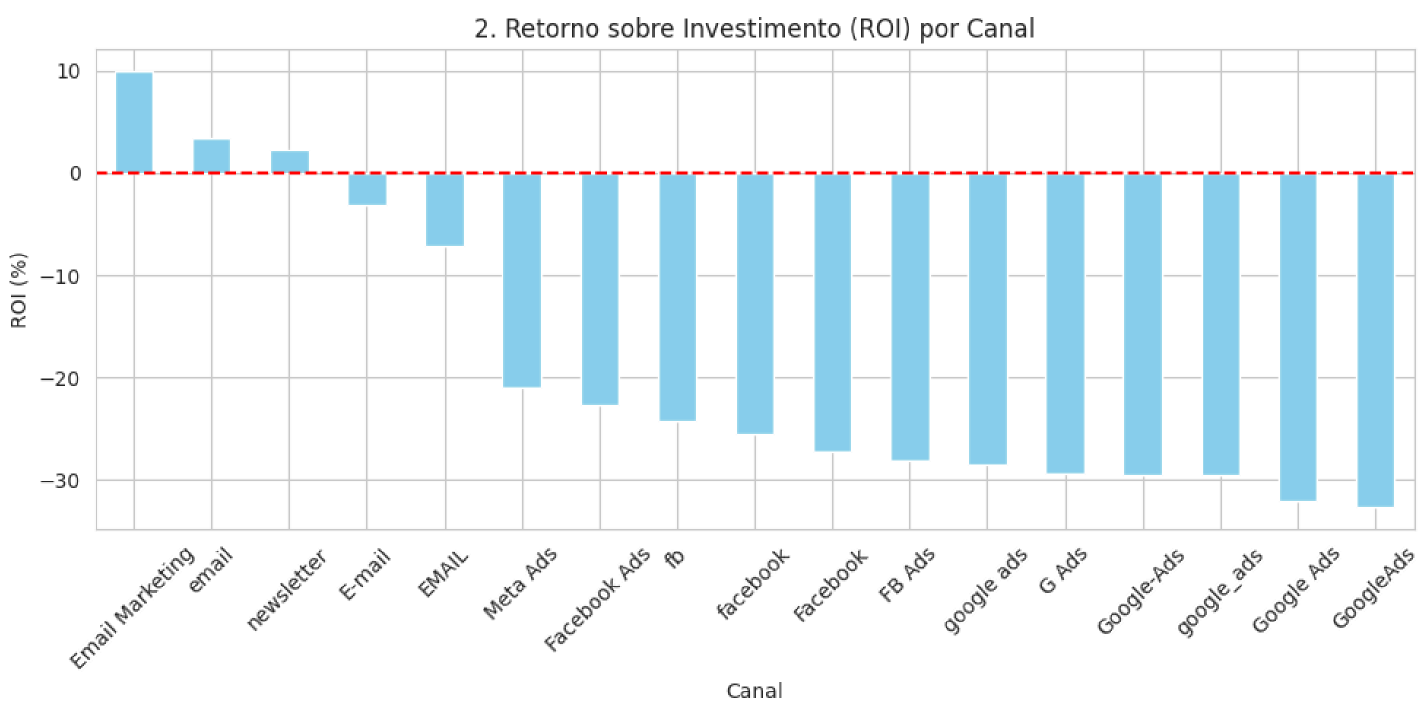

Figure 2: ROI by Channel

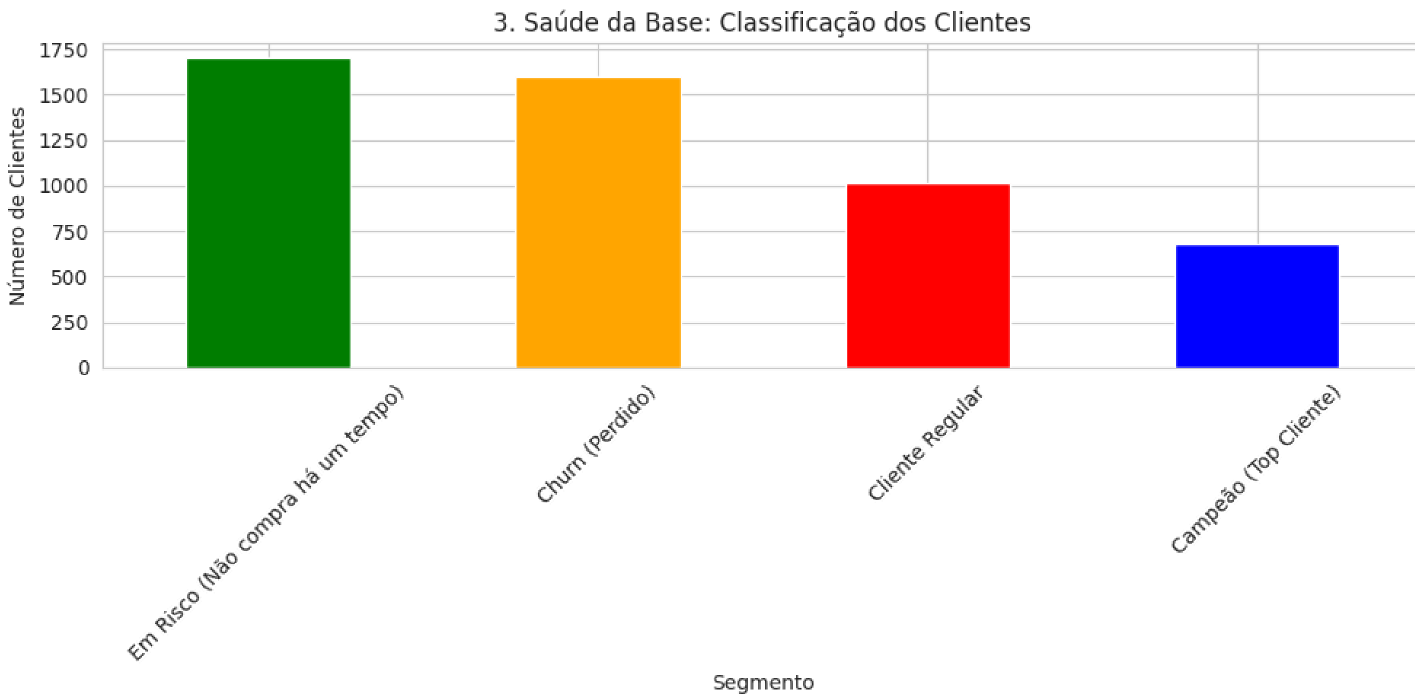

Figure 3: Customer Segmentation (RFM)

4. What We Should Do Next

Here's my recommendation, step by step.

First (this week):
- Put this model into production using SQL so we have a single dashboard for all teams.
- Cut the budget for Google Ads and move at least 20% of it to Email and Newsletter.

Next (this month):
- Improve the attribution model. Last-touch is okay for now, but time-decay is fairer and will give us better insights.
- Run a campaign targeting the "At Risk" customers with a special offer to bring them back.
- Investigate returns: talk to customers, check delivery times, and review product quality to find the root cause.

Longer term (next quarter):

- Automate the RFM segmentation so it updates daily.
- Set up alerts: notify the retention team automatically when a "Champion" drops to "At Risk".

5. Final Thought

The data is there, but it's not organized. By centralizing it and applying clear rules like Net Revenue, we can stop the 33% revenue loss and focus on what actually works.

This is a solid foundation. Now we just need to build on it.